

Stock Report: BSX

Equity Research Report

BSX \$44.30

Generated on: 6/25/2026

Stock Summary

Current Price	\$44.30
Price Change	-0.16 (-0.35%)
Previous Close	\$44.46
Trading Date	2026-06-25

Company Description

Boston Scientific (TICKER:BSX) is a leading medical technology company specializing in cardiovascular devices, including electrophysiology systems like FARAPULSE, left atrial appendage closure devices (WATCHMAN), and interventional cardiology products. It focuses on innovation-driven growth in cardiovascular and adjacent markets such as thrombectomy and pelvic health.

Financial Analysis

Competitors

Industry: pharma_commercial

Rating: 4/5

Key Points

- Dominates U.S. AF ablation with ~70% share, leveraging FARAPULSE's safety and procedural advantages.
- Strong clinical evidence and ecosystem integration create switching costs versus Medtronic and Abbott.
- WATCHMAN device is standard of care with potential market expansion via CHAMPION trial.
- Competitors launching rival PFA systems pose share and pricing risks.
- Acquisitions diversify portfolio but increase complexity versus more focused peers.
- Overall, BSX holds a moderate to strong moat due to technology leadership and platform scale.

Summary

Boston Scientific operates in the cardiovascular medical devices industry, competing primarily with Medtronic (TICKER:MDT), Abbott (TICKER:ABT), and Edwards Lifesciences (TICKER:EW). Its competitive moat is built on a differentiated electrophysiology platform (FARAPULSE), clinical evidence leadership (WATCHMAN), and an integrated procedural ecosystem that creates switching costs. While competitors are launching rival PFA systems, BSX's first-mover advantage and ecosystem approach provide a durable advantage. However, intense competition and regulatory risks require ongoing innovation and execution to maintain market share.

Financial Health

Rating: 3/5

Key Points

- Net debt stands at \$9.47B with leverage ratio 1.92x, manageable but rising after Penumbra deal.
- Liquidity is solid with nearly \$4.7B in cash and revolver capacity.
- Debt-funded acquisitions increase interest expense and reduce financial flexibility.
- Suspended share buybacks reflect conservative capital allocation prioritizing debt and growth.
- Strong free cash flow (\$3.66B in 2025) supports debt repayment and R&D funding.
- Integration complexity from acquisitions poses execution and financial risks.

Summary

Boston Scientific's financial health reflects moderate leverage with net debt of \$9.47 billion and a net debt-to-EBITDA ratio of 1.92x as of 2025, manageable but set to increase post-Penumbra acquisition with \$11 billion new debt. The company maintains investment-grade ratings and adequate liquidity (\$1.97 billion cash plus \$2.75 billion revolver capacity). Management has suspended share repurchases since 2020 to prioritize debt reduction and integration. While leverage elevates financial risk amid tariff and interest rate pressures, strong free cash flow generation supports debt servicing and operational investments.

Growth

Rating: 4/5

Key Points

- 19.2% organic revenue growth in 2025 driven by electrophysiology and WATCHMAN.
- Electrophysiology segment growth of 73% reflects strong market share gains and platform ecosystem.
- Acquisitions contribute to MedSurg segment growth but with integration and commercial disruption.
- Cardiac Rhythm Management segment shows stagnation, awaiting new product launches like EMPOWER.
- Pipeline catalysts (CHAMPION, FRACTURE trials) could materially expand addressable markets.
- Guidance of 10-11% organic growth in 2026 assumes continued PFA market expansion and competitive defense.

Summary

Boston Scientific exhibits strong growth driven primarily by its electrophysiology segment, which grew 73% in 2025, fueled by FARAPULSE's dominant market share (70% U.S., 50% global). The Cardiovascular segment grew 22.5% operationally, outpacing peers Medtronic and Abbott. Acquisitions like Penumbra and Axonics add new adjacencies but integration challenges and supply chain issues temper near-term growth. Management targets 10-11% organic growth in 2026, supported by pipeline catalysts such as the CHAMPION trial potentially expanding WATCHMAN's market fourfold.

Profitability

Rating: 4/5

Key Points

- Gross margin improved to 68.8%, above peers, reflecting operational efficiency and pricing power.
- Operating margin expanded to 19.7% despite headwinds from product discontinuations and tariffs.
- Cardiovascular segment operating margin increased to 32.4%, showing scale benefits.
- Margin expansion target of 50-75 basis points in 2026 is ambitious amid competitive and cost pressures.
- Product cannibalization (FARAPULSE vs POLARx) creates inventory charges, a typical innovation cost.
- Strong free cash flow conversion (80%) indicates efficient cost management and cash generation.

Summary

Boston Scientific's profitability improved with gross margins reaching 68.8% and operating margins expanding to 19.7% in 2025, driven by scale and premium pricing in its cardiovascular segment. The Cardiovascular operating margin rose from 26.7% in 2023 to 32.4% in 2025, evidencing operating leverage. However, margin expansion faces headwinds from discontinued products (ACURATE, AXIOS), tariff pressures, and integration costs. The company's ability to maintain pricing power in electrophysiology and capitalize on higher-margin drug-coated balloon technologies underpins strong profitability.

Shareholder Returns

Key Points

- No dividend payments, consistent with reinvestment strategy in growth and acquisitions.
- Share repurchases suspended since 2020 to conserve cash and reduce leverage.
- Capital allocation favors funding R&D, integration of Penumbra and Axonics, and operational investments.
- Strong free cash flow generation underpins capacity for future shareholder returns once leverage declines.
- Focus on growth over immediate shareholder distributions reflects company's transformation phase.
- Potential for future returns tied to successful execution and deleveraging.

Summary

Boston Scientific currently does not pay dividends and has suspended share repurchases since 2020, reflecting a capital allocation strategy focused on deleveraging and funding growth initiatives. The company prioritizes investment in R&D, acquisitions, and integration over returning capital to shareholders. This approach aligns with its transformation into a cardiovascular growth leader requiring substantial funding for pipeline development and market expansion. While this limits near-term shareholder yield, it supports long-term value creation through business scale and innovation.

Valuation

Rating: 4/5

Key Points

- Forward P/E of 20x is below historical and peer averages, reflecting valuation compression after stock decline.
- Strong free cash flow yield (4%) supports debt servicing and R&D investment.
- Gross margins at 68.8% exceed key competitors, indicating operational efficiency and pricing power.
- Leverage increased due to \$14.5B Penumbra acquisition, raising financial risk and interest expense.
- Competition in PFA technology and tariff pressures may limit margin expansion and growth.
- Valuation reflects cautious optimism given growth prospects and integration risks.

Summary

Boston Scientific trades at a forward P/E of 20x and a free cash flow yield of 4%, reflecting a valuation reset after a 30% stock decline despite strong 19.2% organic growth and \$3.66 billion free cash flow in 2025. Its gross margin of 68.8% surpasses peers like Medtronic (65%) and Abbott (57%), supporting premium valuation. However, increased leverage from acquisitions and competitive pressures in electrophysiology temper upside. Relative to peers trading at higher multiples (Medtronic 24x, Abbott 28x, Edwards Lifesciences 44x), BSX offers a more attractive PEG near 1.0, balancing growth and risk.

News Articles

Boston Scientific Reports Strong Results from FRACTURE IDE Trial for SEISMIQ /4CE Coronary IVL Catheter

5/20/2026 | Negative

Boston Scientific's pivotal FRACTURE IDE trial for the SEISMIQ 4CE coronary intravascular lithotripsy (IVL) catheter demonstrated that the device met all primary safety and effectiveness endpoints, achieving a 93.3% freedom from major adverse cardiac events at 30 days and a 93.7% procedural success rate. Both metrics exceeded the prespecified performance goals of 86.2% and 85.8%, respectively, underscoring the device's robust safety profile and high procedural efficacy.

The trial enrolled 420 patients across 46 sites in the United States and Europe, providing a broad, real world assessment of the technology. The 93.3% MACE free rate and 93.7% procedural success translate into a 93.7% rate of successful stent delivery in all treated patients, with no deaths and only one target vessel revascularization at 30 /days, reinforcing the device's clinical reliability.

The SEISMIQ 4CE catheter uses laser generated acoustic pressure waves to fracture calcium deposits in coronary arteries, a mechanism that prepares lesions for stent implantation. The system shares the same console as Boston Scientific's previously cleared SEISMIQ IVL peripheral catheter, enabling streamlined training and deployment across vascular specialties.

These results position Boston Scientific to advance a regulatory submission to the U.S. Food and Drug Administration, potentially accelerating market entry for the coronary IVL platform. The data also strengthen the company's competitive stance against Johnson & Johnson's Shockwave Medical, while building on the strategic acquisition of Bolt Medical in 2025 that brought the SEISMIQ technology into Boston Scientific's portfolio.

"As the prevalence of coronary artery disease and adoption of IVL therapy to address it continue to grow rapidly, data from this important trial will help advance our understanding of treatment for severely diseased, previously untreated coronary lesions and could help broaden the scope of coronary IVL treatment options over time," said Dr. Margaret McEntegart, co principal investigator. She added, "Notably, stents were successfully delivered in all patients treated, no deaths occurred and only one patient underwent target vessel revascularization at the 30 day follow up, underscoring reassuring safety data for the SEISMIQ /4CE device."

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News Articles

Boston Scientific Invests \$1.5 /Billion in MiRus, Secures Option to Acquire TAVR Business

5/19/2026 | Very Positive

Boston Scientific Corp. announced a \$1.5 billion investment for a roughly 34 % equity stake in privately held MiRus LLC, a company developing the SIEGEL balloon expandable transcatheter aortic valve replacement (TAVR) system. The deal gives Boston Scientific an exclusive option to acquire MiRus's TAVR platform for an additional \$3 billion once the company meets predefined clinical and regulatory milestones.

The SIEGEL valve is built on a nickel free, rhenium alloy frame and features a dry porcine tissue leaflet with a nitric oxide coated rhenium frame designed to provide greater radial strength and eliminate foreshortening during deployment. These technical attributes are intended to differentiate the device from existing options in the market.

Boston Scientific's entry into the structural heart market represents a strategic pivot after the company withdrew its Acurate TAVR platform. The investment is expected to open a high margin revenue stream and position Boston Scientific against established players such as Edwards Lifesciences and Medtronic. The company's management highlighted the growing prevalence of aortic stenosis and the potential for improved patient outcomes with the new technology.

In its most recent earnings, Boston Scientific reported adjusted earnings per share of \$0.80 versus a consensus estimate of \$0.79, a beat of \$0.01. Revenue reached \$5.203 billion, up 11.6 % year over year and above the \$5.19 billion estimate. The growth was driven by strong demand in core cardiovascular segments, while the company noted emerging business headwinds that could temper future guidance. Boston Scientific also announced a \$2 /billion accelerated share repurchase program to support shareholder value.

The announcement was well received by investors, with analysts reaffirming buy ratings and noting the strategic significance of the MiRus partnership. The deal is viewed as a key catalyst for Boston Scientific's long term growth and a signal of confidence in its category leadership strategy.

"The occurrence and recognition of aortic stenosis is growing rapidly and our investment in MiRus continues our pursuit to bring a differentiated TAVR system into our portfolio that we anticipate may improve outcomes for patients living with this life threatening disease," said Lance Bates, executive vice president and president of Interventional Cardiology and Vascular Therapies. "Built upon years of research and proprietary technology, we believe the distinctive design and impressive early clinical results of the SIEGEL valve may set it apart from currently available technology, potentially providing physicians an advanced option to treat a wide array of patients."

"Our global team and the strength of our category leadership strategy enabled us to deliver solid results this quarter," said Mike Mahoney, chairman and chief executive officer. "We remain focused on executing our long term strategy and advancing our differentiated pipeline to drive meaningful impact for patients, physicians and hospital systems."

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News Articles

Boston Scientific Issues Class I Recall for 1.4 Million Pacemakers and Defibrillators, Requiring Software Upgrade

5/8/2026 | Negative

Boston Scientific announced a Class I recall that covers more than 1.4 million heart device implants, including its ACCOLADE pacemakers and cardiac resynchronization therapy pacemakers (CRT Ps). The recall, the most serious the U.S. Food and Drug Administration has ever classified, is driven by a defect that can cause the devices to enter a safety mode.

The defect stems from variability in the battery cathode manufacturing process, which can produce high impedance levels. When the device detects this impedance, a software glitch triggers the safety mode, potentially compromising the device's ability to deliver therapy. Boston Scientific's corrective action is a software upgrade—Brady /SMR6—that addresses the glitch without requiring most patients to return or replace their implants.

Patients who have received the affected devices are advised to consult their healthcare providers. The company has set up a dedicated hotline (1 800 227 3422) and a web portal (www.bostonscientific.com/ppr or www.bostonscientific.com/lookup) to facilitate the upgrade process. Boston Scientific has stated it is cooperating fully with the FDA and is working to identify all patients who may have received the devices.

Boston Scientific's response emphasizes its "Best4" quality strategy and a commitment to patient safety. The company's leadership has highlighted that pacemakers represent a relatively small portion of its overall revenue, suggesting that the financial impact of the recall may be limited. Nonetheless, the recall increases regulatory scrutiny and could lead to lawsuits, as the company has faced in the past.

The recall underscores the importance of rigorous quality control in the medical device industry. While the software upgrade mitigates the immediate safety risk, the event may affect patient and physician confidence in Boston Scientific's product portfolio. The company's ability to absorb potential settlements and maintain its reputation will be closely watched by investors and regulators alike.

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News Articles

Boston Scientific Reports Q1 /2026 Earnings; Cuts Full Year Guidance Amid Competitive Headwinds

4/22/2026 | Negative

Boston Scientific Corp. reported first quarter 2026 results on April 22 2026, posting net sales of \$5.203 billion, an 11.6% year over year increase from \$4.663 /billion in Q1 /2025. The company's basic earnings per share rose to \$0.90, up from \$0.45 in the same quarter a year earlier, while adjusted EPS reached \$0.80, the high end of the \$0.78–\$0.80 guidance range and a \$0.05 increase over the \$0.75 adjusted EPS reported in Q1 /2025.

Revenue growth was driven by strong demand in the cardiovascular and electrophysiology segments. The cardiovascular business grew 13.5% reported and 11.2% organic, while the MedSurg segment grew 7.8% reported and 5.7% organic. Margin pressure, however, weighed on the results: adjusted operating margin was 28.0%, and adjusted gross margin fell 100 basis points to 70.5% due to tariffs and inventory charges related to product discontinuations such as the POLARx Cryoablation system.

"Our global team and the strength of our category leadership strategy enabled us to deliver solid results this quarter," said Mike Mahoney, chairman and chief executive officer. "We remain focused on executing our long term strategy and advancing our differentiated pipeline to drive meaningful impact for patients, physicians and hospital systems."

In light of the strong quarter, Boston Scientific revised its full year 2026 guidance, lowering reported revenue growth to a 7.0%–8.5% range from the previously expected 10.5%–11.5% and adjusted EPS to \$3.34–\$3.41 from \$3.43–\$3.49. Management cited unanticipated headwinds in the WATCHMAN and electrophysiology segments, as well as margin pressure from tariffs and inventory charges, as the primary reasons for the guidance cut.

"First quarter represented a solid quarter for Boston Scientific with total company organic sales growth of 9.4% versus our guidance range of 8.5% to 10%. First quarter adjusted EPS of \$0.80 grew 6%, achieving the high end of our guidance range of \$0.78 to \$0.80 and Q1 adjusted operating margin was 28%.", Mahoney added on the earnings call.

Analysts noted the guidance cut as a sign of caution, with some adjusting their expectations for the remainder of the year. The earnings beat, however, underscored the company's ability to maintain profitability amid competitive pressures and cost control initiatives.

revised_sentiment_rating

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News Articles

Boston Scientific Receives FDA 510(k) Clearance for Asurys Fluid Management System

3/30/2026 | Positive

Boston Scientific received FDA 510(k) clearance for its Asurys Fluid Management System on March 30, 2026, allowing the device to be marketed in the United States. The system is designed to provide irrigation and distention during endoscopic urologic procedures, addressing a critical need for fluid management and intrarenal pressure regulation.

The clearance expands Boston Scientific's endoscopic urology portfolio and positions the company to capture a share of the growing market for advanced endoscopic equipment. The Asurys system pairs with the LithoVue Elite Single Use Digital Flexible Ureteroscope, enabling real time intrarenal pressure monitoring and on demand flush features that can reduce complications such as systemic inflammatory response syndrome, sepsis, and renal damage.

The Asurys system is part of Boston Scientific's StoneSmart Solutions ecosystem, which includes products for kidney stone management, BPH, erectile dysfunction, and incontinence. The addition of fluid management technology complements existing offerings and strengthens the company's strategy to provide comprehensive solutions in urology beyond its core cardiovascular and electrophysiology businesses.

Boston Scientific's history of strategic acquisitions in the urology space, such as the 2015 purchase of Endo International's urology portfolio, underscores its commitment to expanding this segment. The 510(k) clearance is a standard regulatory pathway that allows the company to market the device in the United States, opening a new revenue stream and enhancing competitive positioning against other urology device manufacturers.

The clearance represents a significant operational milestone that could drive future sales growth and reinforce Boston Scientific's broader strategy to diversify its product portfolio.

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Price History

